K-ZEN

BEVERAGES

K-ZEN BEVERAGES

K-ZEN BEVERAGES | PITCH DECK | OCT 2018

EXECUTIVE SUMMARY

K-ZEN BEVERAGES

- Cannabis beverages with highest growth potential & mainstream appeal

- K-Zen will win with superior product and brands, experienced team, consistent supply chain and wide reaching distribution
  - *Product advantage with emulsion technology for fast & consistent effects and no cannabis taste*
  - *Seasoned team with brand management, beverage & cannabis expertise*
  - *Reliable supply chain with multi-state coverage*
  - *Category management approach to secure distribution at retail and online*

- Early interest by numerous mainstream beverage manufacturers

CANNABIS IS A LARGE MARKET OPPORTUNITY

K-ZEN

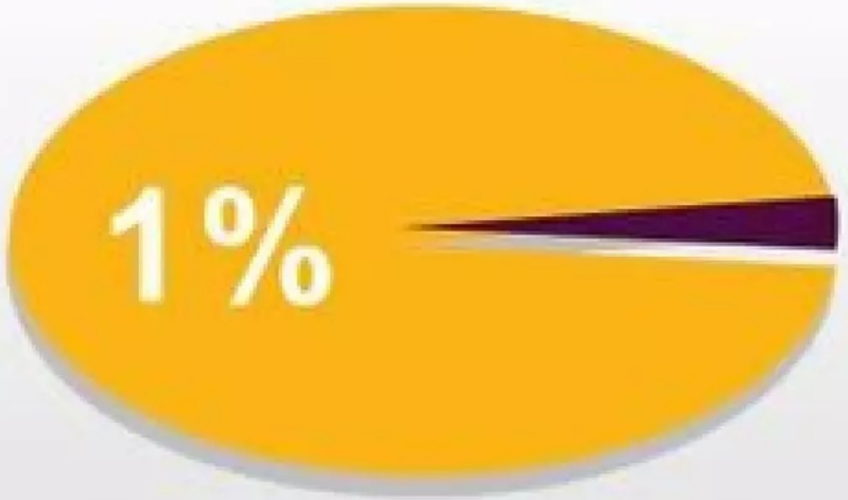
- Consumer, government and business trends leading to increased adoption and innovation
- $146.4 billion by 2025 (vs. $17 billion today)
- +35% CAGR



THAT WILL BE FUELED BY THE FUTURE GROWTH OF CANNABIS BEVERAGES

K-ZEN BEVERAGES

TODAY
<$100MM



2022
+$2B

20X



Source: Business Insider, BDS Analytics

DRIVEN BY ITS HIGH CROSS OVER APPEAL FOR MAINSTREAM CONSUMERS

K-ZEN BEVERAGES



- Fits current health trends (smoke free, discreet, low calorie, low dosage)
- Most familiar form with multiple usage occasions
- Greatest source of mainstream volume (~$2 trillion global market in 2021)
- Active interest from numerous mainstream players

LEADING TO EARLY INTEREST BY KEY INDUSTRY PLAYERS

K-ZEN BEVERAGES

Bloomberg

Molson Coors Bets on Pot With Cannabis-Drink Joint Venture

By Kristine Owram
August 1, 2018, 2:00 AM PDT *Updated on August 1, 2018, 11:07 AM PDT*

- Partnership with Hydropothecary will focus on Canadian market
- JV expected "to be nothing short of mind-setting": Beacon



BUSINESS NEWS

Corona owner invests another $4 billion in cannabis producer Canopy

Uday Sampath Kumar, Nichola Saminather

(Reuters) - Corona beer maker Constellation Brands (STZ.N) will infuse another $4 billion into Canada's top cannabis producer Canopy Growth (WEED.TO), the biggest investment in the industry, to capitalize on booming demand for marijuana.

Menu Search Bloomberg Sign In

Pepsi Slides After CFO Says Company Has No Plans for Cannabis

FOCUSED ON ADDRESSING EXISTING CHALLENGES

K-ZEN BEVERAGES



- Highly fragmented small regional players
- Poor product quality (taste, separation & odor)
- Inconsistent supply
- Minimal CPG Management
- Few standards and conventions

WE HAVE ASSEMBLED AN EXPERIENCED TEAM

K-ZEN BEVERAGES

JUDY YEE – Co CEO



- EVP, Crystal Geyser and Tejava Tea
- CMO, Earthbound Farm
- Director of Private Labels, Safeway
- Head of Marketing, Chiquita
- Brand Manager, Nestle and Clorox
- Investor Relations & Finance, Clorox

SOON YU – Co CEO



- SME – Branding, Design & Innovation
- Best Selling Author: *Iconic Advantage*
- Global VP of Innovation, VFC
- General Manager, Clorox & Chiquita
- EY Entrepreneur of the Year Finalist

JOHNNIE GILES – EVP BD & Regulatory



- Partner RED/Raiku
- VP Comcast NBCU External Affairs
- Managing Partner Blacksquare LLC
- Senior Executive at AgeWave
- Chronicle Publishing Co *(VP of Government Affairs, Executive Director M&A)*

MOHINI PANDE – Sales Account Manager



- Regional Sales Manager at Leef Holdings, LLC
- Cannabis Retail Management
- Advanced Culinary Professional
- President at 'MPowered Promotions & Events

COMMITTED TO OUR VISION AND MISSION

K-ZEN BEVERAGES

VISION

...to become the
#1 cannabis beverage company






MISSION

…to share the joy and benefits
of cannabis beverages
to all people

THAT BRINGS YEARS OF RELEVANT EXPERIENCE

K-ZEN BEVERAGES

FOOD / BEVERAGE

- Crystal Geyser Natural Alpine Spring Water
- Tejava
- Chiquita

BRAND MANAGEMENT

- Clorox
- The North Face
- Vans

CATEGORY MANAGEMENT:

- Safeway
- Earthbound Farm Organic
- Häagen-Dazs

MEDIA

- NBC
- chronicle
- adspace

REGULATORY

- comcast
- AgeWave
- NBC Universal

CANNABIS

- LEEF Holdings
- Paleo Paw
- Apothekare

WE HAVE A WINNING STRATEGY TO DRIVE CATEGORY GROWTH

K-ZEN BEVERAGES

GOALS & ASPIRATIONS

- Create a mission based organization to "share the joy and benefits of cannabis beverages to all people"
- Reach iconic status and become the standard bearer for the cannabis beverage category

"HOW TO WINS"

SUPERIOR PRODUCT
Consistent Dose-Appropriate Formula, Crave-able Flavors, Rapid Effects

BRAND & CATEGORY MANAGEMENT
Consumer Insights, Analytics, CPG Best Practices, Category Adoption Programs

DISTRIBUTION
Category Management with Retail and Online (Eaze)

STRATEGIC NETWORK
Strategic Partners

OUR INITIAL ASSESSMENT OF OPPORTUNITIES...

K-ZEN BEVERAGES

TYPE	CURRENTLY SOLD IN DISPENSARIES	FUTURE OPPORTUNITY IN DISPENSARIES	CROSSOVER APPEAL	SIZE OF MAINSTREAM MARKET	TECHNICAL FEASIBILITY	OVERALL ASSESSMENT
Soft Drinks & Coolers	🟢	🟢	🟢	🟢	🟢	🟢 Phase 1
Sparkling Water	🟢	🟢	🟢	🟢	🟢	🟢 Phase 1
Shots & Energy Drinks	🟢	🟢	🟢	🟢	🟢	🟢 Phase 1
Juice & Juice Drinks	🟠	🟠	🟠	🟠	🟢	🟠 Phase 2
Sports & Functional	🔴	🟠	🟢	🟢	🟢	🟠 Phase 2
Tea and Coffee	🟠	🟠	🟢	🟢	🟠	🟠 Phase 2
Alcoholic Drinks	🔴	🔴	🟠	🟢	🟠	🔴 Phase 3

LED TO THESE EARLY IDEAS



K-ZEN BEVERAGES

How appealing was the product?

SURVEY – (800+ Respondents)



LEADING US TO BUILD STRONG BRANDS THROUGH CONSUMER INSIGHTS AND CATEGORY MANAGEMENT

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CONSUMER INSIGHTS DRIVEN

- Leverage-able insights produce concepts with clear benefits and RTBs
- Positioning against most important needs and occasions
- Rapid prototyping approach (AB test and learn process)

BRAND BUILDING

- Consumer desireability and loyalty through compelling branding
- Signature elements to build iconic status
- Adoption language to create norms and conventions that build category

CATEGORY MANAGEMENT

- Retailer and consumer education
- Elevated retail experience
- Category insights and analytics

WHICH WE WILL GO-TO-MARKET THROUGH STRATEGIC PARTNERSHIPS

K-ZEN BEVERAGES



Partner with innovative co-pack manufacturers for speed to market and scalability

- Reliable sourcing
- Accurate dosing, stable and properly packaged beverages
- Licensed FDA compliant clean food & beverage manufacturing
- Multi-state footprint

ALLOWING US TO WIN IN THE MARKETPLACE

K-ZEN BEVERAGES

"HOW TO WINS" – 5 P'S

PEOPLE - EXPERIENCED TEAM

PRODUCT - SUPERIOR TASTE, CONSISTENT EFFECTS, STRONG BRAND

PRODUCTION – DIVERSIFIED SUPPLY CHAIN AND CAPABILITIES

PLACEMENT - CATEGORY MANAGEMENT

PARTNERS - STRATEGIC ALLIANCES